Exchange Traded Funds (ETFs) Policy

PRODUCT SUMMARY (FOR ADVISORY SYSTEMS)

Product Type: Exchange Traded Fund (ETF) **Primary Purpose:** Market-linked investment through exchange-traded units

Risk Level:

- **Low:** Debt / Gold ETFs
- **Medium:** Broad Market Index ETFs (e.g., Nifty 50)
- **High:** Sectoral / Factor ETFs

Suitable For:

- **Long-term wealth creation:** Efficient tracking of market benchmarks
- **Goal-based investing:** Targeted allocation for Education or Retirement

Not Suitable For:

- **Capital protection seekers:** Value fluctuates with market indices
- **Short-term guaranteed returns:** No fixed or assured returns are permitted

Key Risks:

- **Market Volatility:** Prices change in real-time on the exchange
- **Tracking Error:** Variance between ETF performance and the underlying index
- **Liquidity Risk:** Potential difficulty in trading units at the desired price during low market volume

Advisory Restriction:

- **No return guarantees:** Absolute prohibition on promising specific gains
- **Category-level guidance only:** Focus on asset allocation rather than specific stock tips

1. Understanding ETFs: Mechanism and Operation

An Exchange Traded Fund (ETF) is a type of mutual fund that tracks a specific index (like Nifty 50), commodity (like Gold), or basket of assets. Unlike traditional mutual funds, ETF units are traded on stock exchanges (NSE/BSE) just like individual company shares.

1.1 How ETFs Function

- **Creation/Redemption:** Handled by "Authorized Participants" (APs) in large blocks, ensuring the ETF price stays close to its Net Asset Value (NAV).
- **Intra-day Trading:** Retail investors buy and sell units from each other on the exchange during market hours.
- **Cost Efficiency:** ETFs generally have lower expense ratios because they are passively managed. Under the **2026 SEBI Framework**, the Base Expense Ratio (BER) for ETFs is capped at **0.90%**, excluding statutory levies.

2. Investment Requirements and Access

2.1 Minimum Investment (Unit-Based)

ETFs do not require large lump-sum amounts. The minimum investment is **1 Unit**.

- *Example:* If the Nifty BEES ETF is trading at ₹250, an investor can start with just ₹250.
- **Systematic Plans:** While ETFs are traded on exchanges, the Bank offers "Equity SIPs" which allow for automated unit-based purchases at regular intervals.

2.2 Demat and Trading Account Requirements

As ETFs are exchange-traded securities, the following are mandatory:

- **Trading Account:** To place buy/sell orders on the exchange.
- **Demat Account:** To hold the ETF units in electronic form.
- **KYC Status:** Must be "KYC Validated" with a linked Aadhaar and PAN.

3. Risk Assessment and Management

3.1 Market and Volatility Risk

ETFs are subject to the same market risks as their underlying assets. If the index falls by 10%, the ETF will lose approximately 10% of its value.

3.2 Tracking Error and Tracking Difference

The Bank's policy requires RMs to explain these two critical metrics:

- **Tracking Difference:** The actual gap between the index return and the ETF return over a period (usually caused by the Expense Ratio).
- **Tracking Error:** The "wobble" or inconsistency in how closely the ETF follows the index daily.

3.3 Liquidity Risk

In low-volume ETFs, the "Bid-Ask Spread" (the difference between buying and selling price) may be wide, leading to higher transaction costs. The Bank shall prioritize recommending ETFs with high Average Daily Volume (ADV).

4. Suitability and Investor Profiling

ETFs are versatile but must be mapped to the client’s risk appetite:

- **Conservative:** Gold ETFs or Liquid/Debt ETFs for short-term parking.
- **Moderate:** Large-Cap Index ETFs (e.g., Nifty 50 or Sensex).
- **Aggressive:** Factor-based ETFs (Momentum/Value) or Sectoral ETFs (Banking/IT).

Mandatory Rule: ETFs tracking volatile sectors (Thematic) are restricted for "Low Risk" investors.

5. Advisory and Execution Guidelines

5.1 RM Advisory Standards

Relationship Managers must:

- Provide a **Total Cost Disclosure**, including the new BER, brokerage (capped at 6 bps for cash market), and statutory levies.
- Explain the **Bid-Ask Spread** to ensure the client understands the real cost of entry and exit.

5.2 Execution-Only (EOP) Scenario

If the Bank acts only as an execution platform without providing advice, the client must sign a **"No-Advice Declaration,"** acknowledging they have chosen the specific ETF independently.

6. Monitoring and Rebalancing

- **Quarterly Review:** The Bank will provide a report comparing the ETF's performance against its benchmark and peer ETFs in the same category.
- **Asset Allocation Drift:** If an ETF’s price surge causes a client’s equity allocation to exceed the target by **>10%**, a rebalancing notification is triggered.

7. SEBI Compliance and Disclosure Requirements

In accordance with current SEBI mandates:

- **Daily Transparency:** The Bank’s platform must display the previous day’s NAV, the current Market Price, and the Premium/Discount at which the ETF is trading.
- Total Expense Ratio (TER) Unbundling: Under the SEBI 2026 rules, the TER must be shown as:

$$TER = BER + \text{Brokerage} + \text{Statutory Levies}$$

This ensures investors see exactly what goes to the AMC versus what is paid as tax.

8. Prohibited Claims and Conduct

1. **No "Zero-Risk" Claims:** Even Liquid ETFs carry interest rate and credit risks.
2. **No Performance Guarantee:** Projections of future index levels are strictly prohibited.
3. **Conflict of Interest:** RMs shall not prioritize an ETF based on the Bank's proprietary relationship with the AMC.

9. SEBI-Compliant Disclaimer

Mutual Fund investments, including ETFs, are subject to market risks; read all scheme-related documents carefully. ETFs are traded on stock exchanges at market prices which may be higher or lower than the NAV. Tracking error and liquidity are inherent risks. The Bank acts as a distributor/advisor and does not guarantee returns or the safety of principal. Under the SEBI (Mutual Funds) Regulations, 2026, all costs and levies are disclosed on actuals.